

Is the PC really dying?

THERE ARE FEW THINGS that those who champion for the PC Master race don't look forward to. No, it isn't anything sinister that the console plebs might unleash upon us, rather it's the industry shipment reports that Gartner and IDC release every quarter. Up until three years back, these reports were eagerly waited upon, since they always heralded a positive trend but for the last 12 quarters, they've been ringing the death knell for the humble PC with a ferocity that can only be matched by Joey Jordison of Slipknot. However, there is something that most folks don't tend to pick up from these quarterly reports – a shift in trend towards the enthusiast segment.

A key factor that's attributed to the drop in PC shipments is the shortage of components. Over these last few years, we've had several such shortages. The one that seems to have been widely felt was that of hard drives after the disaster in Southeast Asia that ended up flooding most hard drive production facilities in Thailand. The industry did take roughly a year to get back on its feet but middle-men all over the world managed to drag this particular reason to mint some extra money. We felt it quite a bit in India as an artificial scarcity developed and lasted for much longer than the real issue. Hard drives are commodities and an absolute necessity when building PCs since they offer the best bang for buck. Which is why any drop in availability affects PC sales. The same can't be said for enthusiast graphics cards or high end CPUs.

After the HDD shortage came the SSD shortage thanks to silicon production facilities not being able to keep up with demands. The fact that more and more mobile phones are selling each year means that component manufacturers have to focus on these segments. So if a company that makes display panels for laptops and monitors sees value in making panels for mobile phones, then they're going to shift resources from large screen assembly lines towards the smaller form factors. This results in a shortage of display panels as well. As all of these essential components become more expensive, the BOM (Bill of Materials) cost for PCs rises. Subsequently, consumers put off their purchases for a later period when the prices are more affordable.

While we do see a slump in the PC market

which mostly involves laptops and assembled desktops, there's one segment that's been doing significantly well. And that's the enthusiast market. Like the age old TV wisdom – sex sells – it seems we have a similar phenomenon with PC sales – gaming sells. Slap a label that says gaming and it's bound to sell more than without the label. You need not even have any feature that gives you an extra edge in gaming, simply market any of the existing features to make it seem as if you are getting the extra edge and it will sell. A Jon Peddie Research estimate from 2015 had set an expectation of 24.6 billion for the gaming market in 2016, however, when 2016 did finally come around, the gaming market had expanded well over the estimate to a reported 30 billion market. The industry has grown two years ahead of its estimates. That was 2016, and 2017 has been even better for the "gaming" hardware market.

So what does all this tell us? Even if the traditional PC market is dying, we're seeing a tremendous growth in the enthusiast PC market. While overall shipments maybe drying up slowly, the manufacturers aren't losing revenue, rather they're raking in a lot more money thanks to the popular gaming segment. India has been doing better than first world countries since the PC market is growing thanks to an enormous demand for notebooks, and to top it all off, the gaming segment has been providing a ridiculous boost. So you're going to see a lot more gaming related events in the country since every hardware manufacturer is eyeing India in particular for this very reason. So if you're thinking of starting out a new business and need ideas, then gaming is where your focus needs to be. 



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Let me know your thoughts on this column at:
@mithun_mohandas |
mithun@digit.in